

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-14

AIRBOSS DEFENSE GROUP, LLC,
COMPLAINANT,

v.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC., MSC
MEDITERRANEAN SHIPPING COMPANY S.A. and MEDITERRANEAN SHIPPING
COMPANY (USA) INC., as
agent for Mediterranean Shipping Company S.A., and TOTAL TERMINALS
INTERNATIONAL, LLC,
RESPONDENTS.

**MEDITERRANEAN SHIPPING COMPANY S.A. and
MEDITERRANEAN SHIPPING COMPANY (USA) INC.'S
MOTION TO DISMISS OR STAY PROCEEDING**

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MOTION TO DISMISS OR STAY PROCEEDING**

Pursuant to 46 C.F.R. §§502.69 and 502.70, Respondents MSC Mediterranean Shipping Company, S.A.¹ and Mediterranean Shipping Company (USA) Inc. (“Respondents” or “MSC”) hereby move to dismiss the Complaint or, in the event the Complaint is not dismissed in its entirety, to stay the proceeding pending rulings in multiple federal court actions related to the same shipments presently pending in the U.S. District Court for Maryland and the U.S. District Court for the Western District of Tennessee..

I. INTRODUCTION

In this proceeding, Complainant seeks reparations and equitable relief with respect to

¹ Incorrectly identified as Mediterranean Shipping Company, S.A. in the Complaint.

charges that accrued because the cargo Complainant purchased from a foreign supplier was denied entry into the United States because Complainant's supplier was using illegal labor.²

The Complaint alleges that MSC violated several provisions of the Shipping Act of 1984, as amended, and FMC regulations in connection with the cargo. However, the Complaint omits critical facts, including that Complainant has no contractual relationship with MSC and that MSC has not issued any invoices to Complainant or sought to collect any charges from Complainant. Based on these omitted facts and other considerations, the Complaint fails to state a claim against MSC for which relief may be granted.

More specifically, each of the alleged violations is baseless for at least the following reasons:

- The Complainant lacks standing to assert a claim against MSC because it has not been billed by MSC or paid to MSC any charges it now seeks to challenge as unlawful for any period of time after September 24, 2022.
- Section 41102(c) – The Complaint fails to allege any facts which would support a necessary element of a Section 41102(c) offense, namely that the conduct at issue was sufficiently normal, customary and continuous to constitute a regulation or practice. Here, only a single group of containers delivered to the same port during November/December of 2021 is at issue.
- Section 41104(d) – The Complaint does not allege the manner in which any purported invoice is supposedly deficient under this statutory provision. More importantly, there is no allegation that any invoice has been issued to Complainant by MSC or that MSC even made a demand to Complainant for payment of charges, which is logical given that there was no contractual relationship between Complainant and MSC.
- Sections 41104(a)(14) and (a)(15) – These provisions merely prohibit the assessment of charges or the issuance of invoices which do not comply with other provisions of law. Without the predicate violation (which does not exist), there can be no violation of these provisions.
- Section 41104(f) – This provision contains no prohibitions and thus cannot be violated.

² A CBP press release regarding the order prohibiting entry of the cargo is attached hereto as Exhibit A.

- 46 C.F.R. §§545.4 and 545.5 – These are interpretative rules that impose no legal obligations in and of themselves, and thus cannot be violated.

- In addition, there are presently four legal actions arising out of the same shipment and charges pending in the U.S. District Court for Maryland, including a third-party complaint filed by the Complainant against MSC many months before Complainant commenced the present proceeding:

- (i) FedEx Trade Networks Transport & Brokerage, Inc. v. AirBoss Defense Group, LLC (1:22-cv-01313-LKG);
- (ii) AirBoss Defense Group, LLC v. McWilliams Collective, LLC, (1:22-cv-01253);
- (iii) FedEx Trade Networks Transport & Brokerage, Inc. v. AirBoss Defense Group LLC v. Mediterranean Shipping Company, S.A., No. 23-cv-02232 (D. Md.); and
- (iv) A.M. Cross Trade Logistics Network, Inc. et al v. McWilliams Collective, LLC et al., No. 24-cv-01021.

There is also an action pending before the U.S. District Court for the Western District of Tennessee, Case 2:23-cv-02800, ITS Logistics, LLC v. FedEx Trade Networks Transport Brokerage, Inc. As explained in Section IV of this motion, the disputes relating to the AirBoss containers involve non-Shipping Act issues and/or parties not subject to FMC jurisdiction that are best resolved by the federal court. Moreover, this FMC proceeding was initiated after all or most of the federal court proceedings were already underway, and appears to be a dilatory tactic on the part of Complainant.

II. MOTION TO DISMISS STANDARD

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure ... Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital v. Marine Transport Logistics*, 2 F.M.C. 2d 198 (FMC 2020).

“In evaluating whether a complaint before the Commission states a cognizable claim under

the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, Docket No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff’s claim for relief. Indeed, “[w]hile a complaint need not plead ‘detailed factual allegations,’ the factual allegations it does include ‘must be enough to raise a right to relief above the speculative level’ and to ‘nudge . . . claims across the line from conceivable to plausible.’” This “‘plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . .

Cornell, 2014 WL 5316340, at *6 (citations omitted); *see also Maher*, 2015 WL 9426189, at *12 (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”), citing *Ashcroft v. Iqbal*, 556 U.S. at 678 (2009).

The Commission has clearly indicated that federal case law interpreting Federal Rule of Civil Procedure 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss filed in Commission proceedings. *Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12.

The Complaint does not meet the foregoing standard and is deficient in other

respects such that dismissal is appropriate. In the event the Complaint is not dismissed in its entirety, this proceeding should be stayed pending resolution of related issues that the Complainant has raised in federal court.

III. THE COMPLAINT SHOULD BE DISMISSED

For the reasons set forth below, the Complaint should be dismissed. MSC is alleged to have violated Sections 41102(c), 41104(d), 41104(a)(14), 41104(a)(15), 41104(f) of the Shipping Act and Sections 545.4 and 545.5 of the Commission's regulations. Each of these allegations is fatally flawed.

A. The Complaint Should Be Dismissed Because The Complainant Lacks Standing

As an initial matter, because Complainant was an indirect purchaser vis-à-vis MSC, it lacks standing to assert any claim against MSC under the Shipping Act.

While any person is entitled to file a complaint alleging a violation of the Shipping Act of 1984, 46 U.S.C. § 41301(a), only a complainant that suffers "actual injury" as a result of the violation is entitled to reparations. 46 U.S.C. § 41305(b). The FMC's longstanding interpretation of the Shipping Act has been that only first-line direct purchasers of carrier services have suffered the "actual injury" which confers standing to seek reparations.

The history of the so-called "direct purchaser rule" was explained in the Commission's decision in the case of *In Re Vehicle Carrier Services*, Dockets 16-01, 16-07, 16-10, and 16-11 (FMC October 21, 2019). In *Vehicle Carrier Services*, the FMC said:

In the 80 years since the Shipping Board held that a respondent could not rely on a pass-on theory to avoid liability to a complainant for reparations, the Commission has repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for overcharges. In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations. *Gov't. of Guam*, 29 S.R.R. at 902, 908-09, 2002 FMC LEXIS 16 at

*58-59 (striking consignee's reparations claim because it was not the direct payor or assignee); *Cal. Cartage v. Pac. Mar. Ass'n*, 23 S.R.R. 420, 427 (FMC 1985); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ 1979) (denying consignee's claim for overcharges allegedly passed along to it); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 575 (ALJ 1977).

p. 11. The FMC not only held that indirect purchaser complainants lacked standing to claim reparations, but also noted:

Even in applying the direct purchaser rule, the Commission follows strict proof requirements. Complainants can recover only if they introduce evidence that they actually paid the carrier or received an assignment from someone who did. *Gov't. of Guam*, 29 S.R.R. at 908-09, 2002 FMC LEXIS at *36-42. Incomplete records, mere allegations, or general business practices or relationships are not sufficient proof. See *id.* Consistent with the direct purchaser rule, the Commission's regulations require reparation statements to identify "the person paying charges in the first instance." 46 C.F.R. § 502.252 Ex. No. 1.

pp. 11-12.

Here, Complainant is an indirect purchaser with respect to MSC (or otherwise has no claim against MSC) insofar as all five (5) categories of charges it seeks to challenge are concerned.³

As an initial matter, the Disputed FTN Charges, the Additional FTN Charges and the Disputed ITS Chassis Charges are all charges imposed by and invoiced (or not invoiced) by either FTN or ITS.⁴ Thus, Complainant has no standing to bring a complaint against MSC with respect to those charges.

³ Since the Complaint is filed under Section 41301 of the Shipping Act, the provisions of Section 41310 which might support looking through the NVOCC intermediary to the underlying ocean common carrier are inapplicable here.

⁴ Paragraph 20 of the Complaint defines the Disputed FTN Charges to mean those ocean freight, insurance, storage, demurrage and other charges applicable through May 31, 2022 which respondent FedEx Trade Networks Transport & Brokerage, Inc. ("FTN") attempted to collect from Complainant via a suit in federal court and which were the subject of a settlement agreement between Complainant and FTN (Complaint at ¶ 23). The Additional FTN Charges and the Disputed ITS Chassis Charges are defined at paragraph 25 of the Complaint as being imposed by FTN and ITS, respectively.

Complainant has not paid the Disposal-Related Charges⁵, and has not alleged that it received an invoice from MSC for the Disposal-Related Charges, or that MSC has demanded payment of said charges by Complainant. Accordingly, the Complaint does not meet the proof requirements explained in the Commission’s *In Re Vehicle Carrier Services* decision cited above. In the absence of an invoice and payment, Complainant lacks standing to assert a claim against MSC with respect to the Disposal-Related Charges.

The final category of charges is the 202 WRO Container Charges.⁶ These charges were the subject of the settlement agreement between Complainant and MSC (Complaint at ¶ 27) which is attached hereto as Exhibit B. With respect to these charges, Complainant admits that it has no contract with MSC. Complaint ¶ 12 (FTN contracted with MSC). There is no allegation that MSC invoiced Complainant for these charges. Indeed, the Complaint reflects that payment of these sums was orchestrated at least in part through the efforts of FTN (Complaint at ¶¶ 23 and 24), most probably in furtherance of the settlement between Complainant and FTN (copy attached as Exhibit C).

It appears that Complainant’s voluntary payment to MSC involved a shifting of responsibility for payment of MSC from FTN (with whom MSC had a contract) to Complainant (which had a contract with FTN but not with MSC). Complainant’s voluntary payment of invoices issued by MSC to FTN does not override the existing contractual relationship between MSC and FTN and does not convert Complainant into a direct purchaser. Accordingly, it remains an indirect purchaser and lacks standing to assert claims against MSC with respect to the 202 WRO Container Charges. Even if Complainant is a direct purchaser with respect to the 202 WRO Container

⁵ The “Disposal-Related Charges” are the demurrage, detention, chassis charges and per diem that accrued from October, 2022 through July, 2023. Complaint, ¶ 31.

⁶ The “202 WRO Container Charges” are the demurrage, detention, chassis charges and per diem charges remaining after Complainant paid FTN. Complaint, ¶¶ 24 and 25.

Charges, it has released MSC from claims relating to those charges under the settlement agreement attached hereto as Exhibit B.

In light of the foregoing, the Complaint should be dismissed.

B. Complainant's Section 41102(c) Claim Should Be Dismissed Because It Fails To Adequately Plead A Necessary Element Of A Violation Of That Section

The Commission has adopted an interpretative rule setting forth the elements of a valid claim under Section 41102(c). 46 C.F.R. §545.4. Those elements are: (a) respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice or regulation is the proximate cause of the claimed loss. Here, Complainant fails to plead adequately element (b), that the action be normal, customary, and continuous.

The Commission has explained what it means for a practice to be “normal, customary, and continuous.” In *HangZhou Gianwang Dress Co. v. RDD Freight International Inc.*, Docket No. 17-02, 2020 WL 5406762, at *3 (FMC Sept. 1, 2020), the respondent released three of complainant's shipments to the same consignee without obtaining the original bill of lading or complainant's consent, which conduct occurred over two months. WL 5406762, at *5. The Commission concluded that “releasing three shipments of one shipper to one consignee over two months does not appear to be ‘customary’ or ‘continuous’ conduct . . . [n]or is there evidence that Respondent's conduct was ‘often repeated,’ systematic,’ ‘uniform,’ and ‘habitual.’” *See also, Ian Mills v. Crowley Logistics, Inc.*, Docket No. 1995(F) (ALJ April 24, 2024)(alleged loss of a single clip-on generator found not to be normal, customary and continuous).

Here, as in *HangZhou* and *Crowley*, the dispute centers on a single event: a single group of

202 containers affected by a single Customs order prohibiting entry of the cargo – all of which were discharged at the same port during November/December 2021 -- into the United States.

Accordingly, there was no normal, customary, continuous, often repeated, systematic, uniform or habitual conduct on the part of MSC.⁷

Moreover, Complainant makes no effort to allege that MSC's conduct falls within the scope of the "normal, customary and continuous" requirement of Section 41102(c). The sole basis for the allegation can be found in paragraph 36 of the Complaint, which states:

FTNs and MSC's practices and regulations relating to the assessment of demurrage/detention are related to receiving, handling, storing, or delivering of property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

This cursory treatment of a central element of a valid claim is precisely what has been held to be unacceptable by Supreme Court and Commission jurisprudence. *See Cornell*, supra. and *Mahe*, 2015 WL 9426189, at *12 ("[m]ere labels and conclusions or a 'formulaic recitation of the elements of a cause of action' will not suffice, nor will 'naked assertions devoid of further factual enhancement.'"). Paragraph 36 of the Complaint is nothing if not a formulaic recitation of the relevant element of a Section 41102(c) claim that is devoid of further factual enhancement.

In light of the foregoing, Complainant's Section 41102(c) claim against MSC should be dismissed.

C. Complainant's Section 41104(d) Claim Should Be Dismissed

Section 41104(d)(2) requires that certain information be contained in invoices for demurrage

⁷ See also *Crocus Investments, LLC v. Marine Transport Logistics, Inc.* ("Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice.") Docket No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021), petition for review denied in sub nom. *Crocus Investments, LLC v. FMC*, 2022 WL 3012275 (D.C. Cir. 2022)); *Ngobros and Co. Nigeria Ltd.*, Docket No. 14-15, 2019 WL 7168688 (FMC Dec. 17, 2019) ("finding a [section 41102(c)] violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent.").

and detention. The only allegation with respect to invoicing is found in paragraph 40 of the Complaint, which alleges:

FTN, MSC and TTI violated 46 U.S.C. § 41104(d) and 46 U.S.C. §41104(f) by failing to invoice ADG for the Disputed FTN Charges, MSC's 202 WRO Container Charges, Additional FTN Charges, Disputed ITS Chassis Charges, and the Disposal-Related Charges.

As noted above in Section III.AA, the Disputed FTN Charges, the Additional FTN Charges, and the Disputed ITS Chassis Charges are all charges imposed by and invoiced (or not invoiced) by either FTN or ITS. By definition, MSC would not issue an invoice for charges imposed by other persons and therefore cannot commit a violation of Section 41104(d) with respect to invoices issued (or not issued) by other persons. Therefore, as a matter of law, MSC could not have violated Section 41104(d) with respect to Disputed FTN Charges, the Additional FTN Charges and the Disputed ITS Chassis Charges.

With respect to the 202 WRO Container Charges and the Disposal-Related Charges, Complainant's fails to state a claim for two reasons. First, nothing in Section 41104(d) requires a common carrier to issue an invoice for demurrage or detention. Section 41104(d)(2) merely requires that an invoice under Section 41104(a)(15) contain certain information. Section 41104(a)(15) makes it unlawful to invoice a party unless the invoice contains the information prescribed in Section 41104(d)(2). Neither section mandates issuance of an invoice. Thus, non-issuance of an invoice is not a violation of Section 41104(d).

Second, as Complainant freely admits, it has no contract with MSC. Complaint ¶ 12 (FTN contracted with MSC). Indeed, the party that contracted with MSC for transportation of the cargo was FTN. *Id.* Accordingly, MSC looked and presently looks to FTN for payment of the 202 WRO Container Charges and the Disposal-Related Charges. Consistent with this, the Complaint reflects

that Complainant's payment of the 202 WRO Container Charges was orchestrated at least in part through the efforts FTN (Complaint at ¶¶ 23 and 24), and most probably in furtherance of the settlement between Complainant and FTN. Complainant's payment to MSC involved Complainant voluntarily accepting responsibility for payment to MSC of charges for which FTN (with whom MSC had a contract) was responsible.⁸ Complainant's decision to pay voluntarily charges that were in the first instance the responsibility of FTN does not make Complainant the contractual counterparty of MSC or the direct purchaser vis-à-vis MSC.

Since Complainant paid the 202 WRO Container Charges (which were the responsibility of FTN) voluntarily and has expressly released MSC with respect to those charges, and MSC has not invoiced Complainant for the Disposal-Related Charges or the 202 WRO Container Charges, this claim should be dismissed.

D. Complainant Fails To State A Claim Under Section 41104(a)(15)

Section 41104(a)(15) makes it unlawful for a regulated entity to:

invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with—

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled "Interpretive Rule on Demurrage and Detention Under the Shipping Act" (or successor rule);

As noted above in the discussion of Section 41104(d), Section 41104(a)(15) does not require the issuance of an invoice – it deals with the content of the invoice. Complainant's allegations with

⁸ This may explain why the settlement agreement between Complainant and MSC, attached hereto as Exhibit B, purports to contain a release with respect to FTN. Exhibit B, ¶ 2.

respect to invoicing are limited to allegations that MSC did not issue an invoice. However, the non-issuance of an invoice cannot and does not violate Section 41104(a)(15). Accordingly, this claim should be dismissed.

E. Complainant Fails To State A Claim Under Section 41104(f)

Complainant is not entitled to relief under Section 41104(f), which provides:

Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.

Because 41104(f) does not require or prohibit any conduct on the part of a common carrier, it is not possible for MSC to have violated Section 41104(f). Accordingly, Complainant's claim under this provision of the statute should be dismissed.

F. Complainant Fails To State A Claim Under 46 C.F.R. §§545.4 and 545.5

Complainant's claims based on these regulations should be dismissed because they are interpretative rules, not legislative rules, and as such contain no requirements and cannot serve as the basis for any legal action.

Section 545.4 of the Commission's regulations explains how it will interpret Section 41102(c) of the Shipping Act generally. Section 545.5 of the Commission regulations explains how the Commission will interpret Section 41102(c) and 545.4(d) (which merely repeats language of Section 41102(c)) with respect to demurrage and detention charges. As explained by the Commission itself, these rules are interpretative rules and impose no legal obligations.

When the Commission adopted Section 545.5, it addressed challenges to the lawfulness of the rule under the Administrative Procedure Act on the grounds that it was a legislative rule rather than an interpretative rule. The Commission started by explaining the difference between the two types of rules:

A legislative rule is “[a]n agency action that purports to impose legally binding obligations or prohibitions on regulated parties – and that would be the basis for an enforcement action for violations of those obligations or requirements.” Interpretative rules and policy statements, in contrast, are explanatory in nature; they do not impose new obligations.

85 *Fed. Reg.* at 29641 (May 18, 2020) (footnotes omitted). The Commission went on to defend its categorization of 545.5 as an interpretative rule by saying:

The rule could not be the basis for a Commission enforcement action or a private party reparation action. There are no ‘requirements’ or mandates or dictates in the rule for an ocean carrier to violate.

Id. at 29642. Therefore, as a matter of law, Complainant has no cause of action under either of these interpretative rules. Moreover, given that Section 545.5 contains no requirements or mandates, the incorporation of the rule into the statute by reference adds no substantive requirements to the statute.

In light of the foregoing, claims under Sections 545.4 and 545.5 of the Commission’s regulations should be dismissed.

G. Complainant Fails To State A Claim Under Section 41104(a)(14)

Because Complainant fails to state a claim under this statutory provision, this portion of the Complaint should be dismissed.

Section 41104(a)(14) makes it unlawful for a common carrier to:

assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of Section 41102 or Part 545 of title 46, Code of Federal Regulations.

In other words, the predicate for a violation of Section 41104(a)(14) is a violation of some other provision of the Shipping Act or FMC regulations. There is no such predicate violation of:

Section 41102(c), as explained in Section III.B of this Motion.

Section 41104(d), as explained in Section III.C of this Motion.
Section 41104(a)(15), as explained in Section III.D of this Motion.
Section 41104(f), as explained in Section III.E of this Motion
Part 545 of the Commission's regulations, as explained in Section III.F of this Motion.

In light of the foregoing, there is no violation of Section 41104(a)(14) and this claim should be dismissed.

IV. THE PROCEEDING SHOULD BE STAYED IF THE COMPLAINT IS NOT DISMISSED IN ITS ENTIRETY

If the Complaint against MSC is not dismissed in its entirety, this proceeding should be stayed pending the resolution of the five pending and earlier filed federal court proceedings identified in the introduction involving the same containers and charges.

As noted in paragraph 42 of the Complaint and the introduction hereto, several of the parties to this proceeding (and other entities that are not) are involved in litigation in federal court with respect to the same containers and charges herein at issue. In addition to those claims that have been asserted in the pending federal court litigation, there are potential cross-claims and counterclaims that may be asserted as between one or more of Respondents. There may also be counterclaims asserted against Complainant by one or more Respondents. The claims in existing court litigation, as well as the assertion of any new cross-claims and/or counterclaims, would not involve Shipping Act claims and would fall outside the scope of the Commission's jurisdiction.

In addition, the resolution of some or all of the existing and future claims in federal court litigation may turn on the interpretation and/or validity of the existing settlement agreements, which is a non-Shipping Act issue over which the settlement agreements grant exclusive jurisdiction to the federal courts. For example, the federal court will need to resolve whether the settlement agreements to which Complainant is a signatory cover the majority of the charges that are at issue here, and which party is actually liable for them. The resolution of these non-Shipping Act issues is likely to have an impact on the scope of the litigation before the Commission.

MSC believes it would be prudent for the Commission to allow the federal courts to resolve those issues among the parties that do not involve the Shipping Act before proceeding with this litigation (should such litigation still be necessary after the federal actions have been decided). The Commission has previously stayed proceedings before it to allow for the resolution of previously filed federal court actions. *See, e.g., General Motors LLC v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC Docket No. 15-08 (ALJ January 5, 2016).

In the *General Motors* decision, the administrative law judge looked to the same factors that federal courts consider when staying a federal case pending the outcome of a related state court matter, namely: which court first assumed jurisdiction, the inconvenience of the federal forum, the desirability of avoiding piecemeal litigation, whether state or federal law provides the rule of decision on the merits, the adequacy of the state court to protect the parties' rights, and whether one of the actions has a vexations or reactive nature. *General Motors* at 2, citing *Profile Manufacturing, Inc. v. Ronald Kress*, 1994 U.S. App. LEXIS 6048, at *7 (Fed. Cir. 1994). Here, these criteria all favor staying this proceeding pending resolution of the federal court proceeding.

In this regard, the federal court actions were filed first, and this proceeding appears to have been initiated by Complainant as a reaction to the federal court action brought against it by FTN. Thus, both of those criteria favor allowing the federal proceedings to move forward first. The federal forum is not inconvenient, as the parties are already litigating there (including one proceeding initiated by Complainant). Complaint, ¶ 42. Moreover, the interpretation of the settlement agreements is a matter of contract law rather than a Shipping Act issue. In addition, the federal court is better situated to protect all parties' rights, given that some of the parties involved in the disputes surrounding the AirBoss containers are not subject to FMC jurisdiction (e.g., ITS). Finally, for purposes of efficiency and avoiding piecemeal litigation, it makes sense to have the

federal court proceedings resolved first. By determining what is and is not covered by the existing settlement agreements, the scope of the proceedings before the Commission could be narrowed and unnecessary parties eliminated. For example, if the federal court holds that an entity other than Complainant is liable for the charges Complainant challenges in this proceeding (such as its transportation broker), then this entire proceeding would be rendered moot.

Allowing the federal court proceedings to move forward first also reduces the possibility for inconsistent decisions. For example, if this proceeding were to go forward only that portion of the Disposal-Related Charges attributable to regulated entities would be before the Commission, whereas the chassis charges of ITS that make up a significant part of the Disposal-Related Charges would not. It would be inconsistent for ITS to be awarded its charges by a federal court but for regulated entities to be denied their charges by the Commission. Similarly, if the Commission were to rule in favor of Complainant with respect to all charges, ITS (which is not subject to FMC jurisdiction) could still pursue its claim against FTN in federal court, and presumably FTN could then bring contractual claims against AirBoss and/or MSC.

Accordingly, if this proceeding is not dismissed in its entirety, MSC respectfully requests that this proceeding be stayed until after all non-Shipping Act issues among the parties have been fully and finally resolved in federal court.

V. CONCLUSION

For the foregoing reasons, the Complaint should be dismissed or, if the Complaint is not dismissed in its entirety, this proceeding should be stayed pending resolution of the five federal court proceedings among the parties presently pending in the U.S. District Court.

Respectfully submitted,



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Dated: May 31, 2024

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing motion to the parties to this proceeding via email transmission on this 31st day of May, 2024.

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